

Q3FY22 Result Update | Movie Exhibition

Equity Research Desk

Net debt free and high promoter holding enables aggressive screen addition plan

29 January, 2022

Inox Leisure reported a strong set of numbers with revenue below our estimates but a big beat on EBITDA margins.

- **Revenue from operations** at INR 2,965 Mn vs INR 474 Mn qoq / INR 149 Mn yoy and below our estimate of INR 3,345 Mn
- **EBITDA** stood at INR 1,318 Mn vs INR 156 Mn / vs loss of INR (105) Mn | qoq / yoy and above our estimate of INR 634.3
- **EBITDA margins** stood at 44.4% Vs 32.9% QoQ Vs (70.2%) YoY
- **PBT loss** stood at a meagre INR (16) Mn vs loss of INR (1,167) Mn and loss of INR (1.368) Mn | qoq / yoy
- **PAT loss** stood at INR (13) Mn vs loss of INR (877) Mn and loss of INR (1025) Mn | qoq / yoy and above our estimate of INR (504)
- **EPS** stood INR (0.11) vs INR (7.2) / INR (10) | qoq / yoy

Key Takeaways of the result:

- Dec 2021 achieved 89% of Dec 2019 revenues (Net Box Office + Net F&B)
- Occupancy stood at 19% for Q3FY22
- Inox added 13 screens in Q3FY22 and 24 screens YTD with a total of 667 screens
- Admits stood at 9.4 Mn in Q3FY22 vs 1.8 Mn / 5 Mn in Q2FY22 / Q3FY21 respectively
- ATP stood at INR 226 in Q3FY22 (highest ever in a quarter) vs INR 178 / INR 153 in Q2FY22 / Q3FY21 respectively
- SPH stood at INR 97 in Q3FY22 (highest ever in a quarter) vs 92 / 73 Q2FY22 / Q3FY21 respectively
- As on 16th Jan 2022, Gross debt stood at 890 Mn while approx. 1800 Mn cash and cash equivalents (excluding undrawn limits of 1200 Mn)
- Inox has laid out an aggressive plan of adding 935 screens post FY22 (no time horizon) leading to a total of 1,619 screens

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	16,922	18,974	1,059	5,480	21,774	26,465
Adjusted net profit	1,335	150	(3,336)	(2,528)	1,669	2,637
Free cash flow	10	1,849	407	383	4,794	7,003
EPS (Rs)	13.0	1.5	(29.7)	(22.5)	14.8	23.4
P/E (x)	30.9	274.9	(13.6)	(17.9)	27.1	17.1
P/B (x)	4.3	6.6	7.1	12.0	8.3	5.6
EV/EBITDA (x)	13.6	11.5	145.6	43.5	10.1	8.3
D/E	0.1	0.2	0.1	0.2	0.1	0.1
RoCE (%)	21.9	47.0	-27.3	-18.1	82.2	73.9
RoE (%)	13.9	2.4	-52.7	-67.2	30.7	32.7

Source: Company

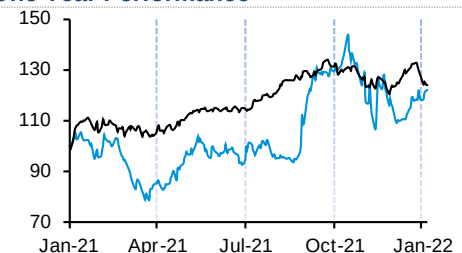
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	541	38

Market data

Current price	Rs	392
Market Cap (Rs.Bn)	(Rs Bn)	48
Market Cap (US\$ Mn)	(US\$ Mn)	639
Face Value	Rs	10
52 Weeks High/Low	Rs	466 / 242
Average Daily Volume	('000)	376
BSE Code		532706
Bloomberg		INOL:IN

Source: Bloomberg

One Year Performance



Inox Leisure Ltd Nifty Index

Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	43.63	43.63
Public	56.25	56.25
Othres	0.12	0.12
Total	100	100

Source: BSE

Mayank Babla
(022) 67141412
mayank.babla@dalal-broacha.com

Conference Call Key Highlights

- In Q3 FY22, the revenue contribution was as follows: ~58% from net box office, 28% from net food and beverages (F&B), 7% from advertisement and 7% from other revenues.
- Employee benefit expense increased to ₹419 Mn as more screens were operated and more footfall witnessed.
- Rent and CAM expenses were negotiated till Dec 2021 and were reflected in the statements
- Neither ticket prices nor food prices were increased. Average Ticket Price was higher due to more blockbuster movies this quarter (5). This led to more sales in F&B too. More sales in F&B could also be credited to Food App and Kiosks (which made ordering food easier). Cinemas were operational only 4-5 weeks out of 12 weeks in the quarter.
- 500 mn cash flow generated in current quarter.
- Company added 13 screens during the quarter (in 3 cities with 1975 seats). This takes total screens tally to 667.
- 17 screens will be added in Q4 for which 10 Cr additional capex is required. (80% job is completed, capex required for remainder 20%). This will take the total tally to 684 screens by end of FY22
- Out of 667 screens, 47 had 100% occupancy allowance, 48 had 0% capacity occupancy allowance and 572 had 50% occupancy allowance.
- Company plans to take the total number of screens to 1619 post covid. This will take the total tally of properties from current 158 to 297 and tally of seats to 0.33 Mn from current 0.15 Mn
- Collections of movies across the country have been so well that Pushpa earned more in Hindi compared to native language. This shows the willingness of people to come and watch regional dubbed movies and not sticking to preferred language.
- The company's key business metrics is expected to recover at a much faster pace than previous quarters. Company expects ATP to remain above pre covid levels post covid.
- Post covid, company expect savings of 8-10% on expenses (except Rent and CAM). Company is hopeful to renegotiate rent and CAM concessions. Ticket and food prices will be hiked according to inflation (3-4% for ticket and 9-10% for food) annually.

Valuation & Outlook

Inox is currently trading at an EV/EBITDA multiple of 8.3x FY23e EBITDA. Movie exhibitors now have an extremely rich releases planned across Bollywood, Hollywood and Regional films (Tamil, Telugu, etc.) and producers are better prepared to time their releases this time. Inox Leisure's strong liquidity position coupled with net debt free status and high promoter holding enables its ambitious screen addition plan of adding 935 screens post FY22 which could probably drive it to leading position in India's movie exhibition industry over the long term.

We expect good traction in the media exhibition business people are more accepting of the conditions to watch a movie in theatre. The fatality of the variants are not so severe while more and more precautionary measures are taken by the exhibitors and movie goers. Post complete normalization, Inox's net debt free status and high promoter holding allows the company to take an aggressive plan on screen opening and possibly become the leader in the movie exhibition business in the long term.

We therefore remain positive on the long-term prospects and retain a BUY rating on the stock, with an increased target price of INR 541 (earlier target INR 448), based on our FY24 estimates.

P.S. We may re-rate the stock based on box office collections of some of the upcoming releases and depending on COVID situation

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	16,922	18,974	1,059	5,480	21,774	26,465
Expenses	13,838	13,006	562	3,796	14,203	17,308
EBITDA	3,083	5,968	498	1,684	7,571	9,157
Depreciation	955	2,642	2,832	2,889	3,033	3,185
EBIT	2,129	3,327	(2,334)	(1,205)	4,538	5,972
Other income	149	172	423	412	409	406
Interest	237	2,212	2,511	2,586	2,716	2,851
Profit before tax	2,041	1,286	(4,423)	(3,379)	2,232	3,526
Exceptional Items	50	-	-	-	-	-
share of profit/loss in JV	-	-	-	-	-	-
PBT (Post Extra Ordinary)	1,991	1,286	(4,423)	(3,379)	2,232	3,526
Provision for tax	656	1,136	(1,087)	(852)	562	888
Reported PAT	1,335	150	(3,336)	(2,528)	1,669	2,637
Balance Sheet	FY19	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	1,026	1,027	1,125	1,125	1,125	1,125
Reserves	8,612	5,192	5,205	2,636	4,306	6,943
Net worth	9,638	6,219	6,329	3,761	5,430	8,068
Non Current Liabilities	1,457	27,041	27,873	28,487	32,119	32,369
Current Liabilities	3,694	4,895	3,640	3,133	4,308	4,585
CAPITAL EMPLOYED	14,789	38,154	37,842	35,381	41,857	45,021
Non Current Assets	13,275	36,411	36,347	34,108	39,161	40,984
Fixed Assets	9,686	32,110	31,128	29,185	34,077	35,721
Non Current Investments	6	2	1	1	1	1
Non Current tax assets	616	1,847	2,853	2,853	2,853	2,853
Long Term Loans and Advances	892	1,016	1,048	838	922	1,014
Other NON Current Assets	1,899	1,262	1,142	1,056	1,133	1,219
Goodwill	175	175	175	175	175	175
Current Assets	1,514	1,743	1,495	1,274	2,696	4,037
Current investments	6	10	4	4	4	4
Inventories	122	137	103	35	155	215
Trade Receivables	882	628	43	150	716	1,305
Cash and Bank Balances	137	447	849	540	1,223	1,825
Short Term Loans and Advances	52	88	3	3	3	3
Other Current Assets	314	433	493	542	595	684
Capital Deployed	14,789	38,154	37,842	35,381	41,857	45,021

Cash Flow St. (Rs. mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Profit	1,335	150	(3,336)	(2,528)	1,669	2,637
Add: Dep. & Amort.	955	2,642	2,832	2,889	3,033	3,185
Minority Interest	-	-	-	-	-	-
Cash profits (Inc)/Dec in	2,290	2,792	(504)	361	4,703	5,822
-Sundry debtors	(123)	255	585	(107)	(566)	(589)
-Inventories	(28)	(15)	33	68	(120)	(60)
-Loans/advances	(143)	(161)	54	209	(84)	(92)
-Current Liab and Provisions	718	(263)	(624)	(467)	1,103	309
- Other Assets	(417)	472	61	38	(132)	(175)
Change in working capital	6	289	108	(259)	202	(608)
CF from Oper. activities	2,296	3,081	(396)	102	4,904	5,215
CF from Inv. activities	(2,435)	1,554	(151)	(376)	(4,385)	(4,741)
CF from Fin. activities	126	(4,325)	1,857	(91)	(30)	(30)
Cash generated/(utilised)	(13)	310	1,310	(365)	489	443
Cash at start of the year	150	137	447	849	540	1,223
Cash at end of the year	137	447	849	540	1,223	1,825
Ratios	FY19	FY20	FY21	FY22E	FY23E	FY24E
EBITDA Margin (%)	18	31	47	31	35	35
NPM (%)	8	1	(315)	(46)	8	10
Tax rate	32	88	25	25	25	25
Growth Ratios (%)						
Net Sales	26	12	(94)	417	297	22
Operating Profit	49	94	NA	238	350	21
PBIT	76	56	NA	(24)	(166)	58
PAT	16	(89)	NA	(24)	(166)	58
Per Share (Rs.)						
Net Earnings (EPS)	13	1	(30)	(22)	15	23
Cash Earnings (CPS)	22	27	(4)	3	42	52
Dividend	1	-	-	-	-	-
Book Value	94	61	56	33	48	72
Free Cash Flow	(1)	45	(5)	(2)	5	4
Valuation Ratios						
P/E(x)	31	275	(14)	(18)	27	17
P/B(x)	4	7	7	12	8	6
EV/EBIDTA(x)	14	12	146	44	10.1	8.3
Div. Yield(%)	0	-	-	-	-	-
FCF Yield(%)	(0)	11	(1)	(1)	1	1
Return Ratios (%)						
ROE	14	2	(53)	-67	31	33
ROCE	22	47	(27)	-18	82	74

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalalbroacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Retail FMCG Logistics
Mrs.Charulata Gaidhani	Sr.Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 9122 2282 2992 | Email: equity.research@dalalbroacha.com